

cant amounts of money to buy consumables. Our grandparents didn't borrow the way we do. They lived on what they earned, saved, and then bought. Today, it's buy and pay it back on debt. Only sometimes couples buy beyond their ability to repay.

CAN CREDIT CARDS BE USED WISELY?

Another common myth is that credit cards can be used wisely. Don't be deceived. They can be used less foolishly, but rarely, if ever, wisely. Credit cards are not problems, but they certainly can lead to problems. A credit card, if managed properly, can be useful. But virtually everyone will buy more using a credit card than if they used only cash. I've heard people say, "I pay mine off every month," implying that they use it wisely. Quite often, that's simply not true. I'm a very budget-conscious person, as I shared earlier, and I do use credit cards when I travel. I pay mine off every month and have never paid any interest on them. And yet, if I'm not careful, I will spend more using those plastic cards than if I use only cash.

About 12 years ago, I got rid of my credit cards and went without them for nearly 10 years. The reason was because the majority of people I was counseling had misused credit, and when I would ask them to get rid of their credit cards, the first thing they would ask is, "Do you use them?"

I had to say, "Yes, I do, but I use mine wisely."

Then they would say, "Well, from now on, I promise to handle mine properly too." But they seldom did.

So I decided to get rid of my credit cards and see if I could travel without them. I did so the better part of 10 years. Do you know what I found out? I wasn't nearly as conservative as I thought, because I had been buying things with credit cards that I would never have bought for cash. At airports I would often buy something because I could pay for it 30 days later. Or I would eat in a more expensive restaurant because I didn't have to pay for it in cash. Many times I would stay at a hotel or motel where I would not have stayed if I had to put out the money in cash. Remember, you can use credit cards less fool-